# CPA Regulatory Framework: Authority, Ethics, Contracts, and Audit Evidence

CPA · cpa-regulatory-framework · BoardPrep lesson v1

## Official examination scope

The PRC Board of Accountancy publishes current LECPA TOS and Philippine professional issuances. This introductory lesson teaches source-checking and selected legal/audit reasoning; law and standards change, and the current primary text and effective date govern an actual professional decision.

## Learning objectives

- Identify which primary authority and date control a regulatory question.
- Analyze a basic contract sequence from the facts given without inventing missing terms.
- Explain why audit evidence must address the relevant assertion and risk.

## 1. Professional authority and ethical duties

Start a regulatory question by naming the profession, the act or decision, the authority responsible, and the date relevant to the case. Republic Act No. 9298 establishes the Philippine accountancy regulatory framework; PRC and Board of Accountancy resolutions, applicable laws, and professional pronouncements provide additional requirements within their scope. Ethical analysis identifies the fundamental principle at risk, the relevant relationship or pressure, and safeguards required by the applicable Philippine Code of Ethics. A general ethical value is not a substitute for the actual rule, independence requirement, or effective date.

## 2. Contract questions: order the facts, then check the rule

For a contract problem, write the dated sequence of offer, acceptance, communication, revocation, and any stated condition. Then consult the relevant Civil Code provisions and determine which act was legally effective and when. Do not assume a time limit, delivery method, or jurisdiction-specific deadline unless the problem or source supplies it. The distinction between dispatch and receipt can matter for communications. If an essential fact is missing, state the conditional conclusion rather than filling the gap with an unstated rule. This method makes an answer traceable and protects against overconfident legal generalization.

## 3. Corporate authority and entity evidence

Corporate analysis begins by identifying the entity, its governing documents, the decision-maker, and the act at issue. The Revised Corporation Code distinguishes corporate forms and assigns requirements for organizational and governance acts; special laws may also apply. For an accounting or audit task, connect a recorded transaction to minutes, contracts, ownership records, bank evidence, or other relevant documentation. A corporate record is evidence to evaluate, not proof by title alone. Check amendments and current SEC rules before advising on a live corporate act.

## 4. Audit standards and assertion-directed evidence

Audit procedures should respond to assessed risk and the assertion being tested, such as existence, completeness, valuation, rights and obligations, or presentation. Evidence quality depends on relevance and reliability in context; one document may support one assertion while leaving another untested. Read the applicable Philippine Auditing Standard, including its effective date and adoption source, before treating a procedure as required. A sample reconciliation or analytical procedure is a learning example, not a complete audit program or assurance conclusion.

## Order offer, revocation, and acceptance

Question: An offer is communicated January 10, revocation January 12, and acceptance January 13. What conclusion follows from the stated sequence for this exercise?
1. Write the sequence in order: offer, revocation, acceptance.
2. The stated revocation precedes the stated acceptance.
3. Do not add an unstated deadline or communication rule; consult the applicable Civil Code provisions for a real case.
Answer: Under the facts and assumptions supplied in the exercise, no contract formed because revocation preceded acceptance.
Check: The reasoning depends on the exercise's facts and does not decide questions of notice or effective receipt that were not supplied.

## Common misconceptions

- A PRC webpage title proves every later amendment is in force.
- A legal conclusion can ignore when a communication became effective.
- A document is persuasive evidence for every audit assertion.

## Practice patterns

- Record the authority, section, version, and effective date.
- Sequence legal events before applying a rule.
- Tie each audit procedure to a stated risk and assertion.

## Official scope references

Official scope: PRC Board of Accountancy — Current and Future LECPA TOS Resources — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-20%20Revised%20Annex%20A%20BOA.pdf

## Instructional references

Instructional reference: Philippine Accountancy Act of 2004 — Republic of the Philippines; Lawphil text of Republic Act No. 9298 — https://lawphil.net/statutes/repacts/ra2004/ra_9298_2004.html
Instructional reference: Code of Ethics for Professional Accountants in the Philippines — Professional Regulation Commission; Board of Accountancy adoption materials — https://www.prc.gov.ph/uploaded/documents/Board%20of%20Accountancy-CE.pdf
Instructional reference: Civil Code of the Philippines — Business-Law Provisions — Republic of the Philippines; Supreme Court E-Library text of Republic Act No. 386 — https://elibrary.judiciary.gov.ph/thebookshelf/showdocs/2/53360
Instructional reference: Revised Corporation Code of the Philippines — Republic of the Philippines; Lawphil text of Republic Act No. 11232 — https://lawphil.net/statutes/repacts/ra2019/ra_11232_2019.html
Instructional reference: PRC Board Resolution No. 3 s. 2026 — Philippine Auditing Standards Adoption — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-03%20published%20Adopting%20The%20Auditing%20And%20Assurance%20Standards%20Council%20Pronouncements.pdf

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